RISK MANAGEMENT 101

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HOW TO STAY SAFE IN THE MARKETS

There are finite games in which there is a clear beginning and end with specific terms for victory that players aspire to and infinite games in which there is no clear winning or losing. Instead, players continue playing only exiting the game due to lack of resources or will. Trading falls into the latter meaning a player's goal is longevity. When it comes to longevity, inflows are not the primary concern, outflows should be the priority since no matter how much a trader can bring into the account means little if they cannot hold onto it making risk management absolutely paramount for trading success.

Risk can be managed in a number of ways, each with their pros and cons. Which approach is best is largely dependent on the goals of the operator with investor types typically placing more emphasis on diversification, hedging, and position sizing while more active traders are likely to employ tactics like hard stops and scaling out partial positions, actions geared towards capital preservation due to the necessity of regularly carrying risk.

INVESTOR TYPES ARE LIKELY TO PRACTICE

Diversification

Diversifying holdings to ensure a good balance between defensive and growth companies is critical for a healthy portfolio as healthy markets will see capital rotate between sectors as correlations come and go. By not putting all their eggs in one basket, traders can more effectively ride the ebb and flow of the overall market.

Hedging

Hedging is placing a bet against your current holdings essentially risking some profits in order to protect against potential downside. Say a trader has 100 shares of SPY that had made unrealized gains but is nearing strong resistance, a hedge for this position could be made by using a derivative product that would be short SPY. Some examples include buying a position in an inverse ETF, buying a put contract, selling a call, or selling a futures contract. The operator should not risk more than the unrealized profits as the goal is to protect the unrealized gains should there be downside while risking a relatively small amount of capital so that should prices resume in a trader's favor, little damage has been taken.

Position sizing

This is typically associated with investor style operations as dollar cost averaging is essentially managing risk through position sizing over time. By setting risk as the total amount of debit laid out for a specific operation, traders ensure that they can never lose more than what they have predetermined.

MORE ACTIVE TRADERS

The more active a trader is, the more likely they are to use additional methods of risk management typically utilizing hard stops. A hard stop can come in many different forms and is essentially a predetermined line in the sand which, if violated, automatically disqualifies the trader from further operations. Hard stops can apply, but are not limited, to an individual trade, style, session, and account.

Trade

A hard stop for an individual trade should be based either on a technical reason or a specific dollar amount though ideally both factors will be considered with an emphasis on the former. Setting the risk for each individual trade is key for success as there is no way to determine whether or not a trade has favorable risk to reward without it. Additionally, a trader only has so much capacity to make decisions. That capacity is inhibited by stress, like that associated with drawdowns. Ensuring that each trade's risk is set to an appropriate amount so that there is not significant emotional and psychological capital spent is key for active traders.

While what is appropriate will be different for each trader, as a general rule of thumb traders should aim to risk no more than one to two percent of their account on each non-correlated trade. In order to figure that number out:

- Take total account size and multiply by 1%, that is the maximum risk per non-correlated trade. For the sake of the example let's use an easy number $10,000 so 1% would be $100.
- Now that we know how much we should risk on any single trade, the next step is to determine the risk on the trade by calculating the difference between the proposed entry location and stop loss. Let's assume that the stop loss for the trade is 3% away.
- In order to determine position size so that the trader ensures a stop loss will cost $100, take the dollar amount and divide by the percent delta of entry to stop: 100/0.3= 3,333.33
- By using $3333.33 with a stop loss 3% away, a trader ensures that they cap their risk for the trade at $100

Trade Style

Trading is very much a blend of art and science. Successful traders must find an edge in the market and for technical traders that means determining a system to sequence price action. Most traders will go through a process of sampling multiple methodologies before settling on a system that suits their purposes effectively. This will inevitably lead to many ideas being thrown out. In order not to waste too much time down a specific style or strategy, setting a hard stop based on time, drawdown, or both will ensure that an operator is consistently refining their process instead of becoming complacent.

Account

Utilizing specific accounts for different styles of operations doubles up as an effective way to manage financial, emotional, and psychological capital. Say a trader employs both very active short-term trading and less active long-term positioning. Having all of those operations in one account makes it challenging to control for emotional and psychological capital as it's difficult to apply the appropriate mindset for both operations simultaneously when forced to look at all of the positions at once.Traders that are interested in trying a new methodology can benefit from setting aside a set amount of risk capital for a secondary account in order to focus on the new approach while giving themselves a hard limit for when to hang it up for the time being.

Session

For active traders, managing risk at the trade level is not enough. Traders must also be mindful of their day to day energy expenditure since trading effectively demands learning effectively. The worst possible day is one in which an operator spends all of their emotional and psychological capital and has little learning to show for it even if the session was profitable since the key to having regular profitable sessions is to understand what made the circumstances ripe. By setting risk per session, whether it be through a hard dollar loss, number of trades, or when it's clear emotional and psychological capital has been depleted, traders ensure themselves the opportunity to improve win or lose. Managing risk per session also helps with capital preservation as capping risk based on each trade can still lead to big losses on multiple failed attempts.

In Summary

Just like it's important to do cost-benefit analysis for regular life decisions, such is the case for trading. Without evaluating just how much a trader is willing to risk on each trade, account, methodology, etc., an operator is unable to reasonably assess risk to reward potential and how to adjust appropriately. Those who commit to the game will invariably hear the importance of risk management repeated time and time again, hopefully this article can help readers understand some of the nuances in, and implications of, controlling risk in different ways.

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